Ch. 6 Non-Textbook Questions

Principles of Microeconomics

June 30, 2026

1. The market for an hour of legal advice is defined by the following supply and demand curves:

$$Q_D = 2,500 - 3P$$
$$Q_S = 5P - 100.$$

   If the government implements a price ceiling of $300, how much does the quantity of legal advice decrease?

2. The market for uber rides is defined by the following supply and demand curves:

$$Q_D = 150 - 5P$$
$$Q_S = 5P$$

   (a) If the government implements a price floor of $20, how much does the quantity of uber rides decrease?

   (b) If instead the government levied a $2 tax on uber drivers for ever ride sold, how much would the quantity of rides decrease?

   (c) If instead the government levied a $2 tax on uber riders for every ride bought, how would the tax burden be distributed between consumers and producers? Please answer in percentages.

3. The market demand and supply equations for high-sugar beverages are given below:

$$Q_D = 100 - 2P$$
$$Q_S = -20 + 4P$$

   The government implements a $3 per-unit tax on high-sugar beverages.

   (a) How much does the tax decrease the quantity of high-sugar beverages consumed?

   (b) How much of the $3 tax is paid by the consumer, and how much is paid by the producer?

   (c) What does your answer to part (b) tell us about the relative elasticities of supply and demand?

4. Consider the local labor market for entry-level warehouse workers in Trinitopia. Labor demand and labor supply are represented by the following equations:

$$L_D = 50 - 2W$$
$$L_S = -10 + 2W$$

   The city council is considering implementing a minimum wage of $18 per hour.

   (a) Calculate the equilibrium wage and the equilibrium number of workers employed in the absence of government intervention.

   (b) Calculate employment if the city council implements its proposed minimum wage.

   (c) Calculate unemployment if the city council implements its proposed minimum wage.